HDFC Bank Limited — FY24 Annual Report & Merger Integration

Audited Financial Statements for Year Ended March 31, 2024

1. Post-Merger Financial Architecture

Following the landmark merger of HDFC Limited into HDFC Bank effective July 1, 2023, the combined entity balance sheet reached INR 36,17,623 crore. Net Interest Income (NII) for FY24 stood at INR 1,08,532 crore, representing 25.1% growth over FY23. Net Profit (PAT) for the fiscal year reached INR 60,812 crore, up 37.9% YoY.

Key Banking Ratios & Asset Quality:

Key Parameter	FY24 Reported	FY23 Pre-Merger	Target Guidance	Status
Net Interest Margin (NIM)	3.44%	4.10%	3.70% - 3.80%	Divergence: Merged liquidity drag
Gross NPA Ratio (%)	1.24%	1.12%	< 1.30%	Within guided threshold
Net NPA Ratio (%)	0.33%	0.27%	< 0.40%	Superior underwriting quality
CASA Ratio (%)	38.2%	44.4%	> 40.0%	Divergence: High interest rate shift
Credit-to-Deposit (C/D) Ratio	104.0%	85.0%	88.0% - 90.0%	Critical focus: Requires deposit mobiliza
Capital Adequacy Ratio (CRAR)	18.8%	19.3%	> 16.0%	Robust capital buffer

2. Narrative vs Numbers — Management Delivery Assessment

Narrative: In merger communications, management stated that access to HDFC Ltd's home loan customers would create massive cross-selling synergies without placing upward pressure on cost of funds.
Numbers Reality: Cost of funds increased to 4.90% from 4.10% as term deposits had to be mobilized at peak rates to finance the merged housing portfolio. C/D ratio spiked to 104%, forcing management to deliberately slow credit growth to allow deposits to catch up. While asset quality remained pristine (Gross NPA 1.24%), margins compressed by 66 bps.

Institutional Bull vs Bear Verdict:

Bull: Dominant private sector lender with unmatched retail distribution network (8,775 branches); structural mortgage demand driver in India; unassailable balance sheet safety and provision coverage (>75%); valuations at decadal lows relative to historical P/B.

Bear: Prolonged margin compression as high C/D ratio limits lending growth; systemic deposit competition across public and private banks; slower execution of branch cross-selling targets.